

Master Service Agreement

Dated _____ between **Novosapien** (Novosapien Global Ltd, a company registered in England and Wales (company no. 17308181), registered office Aldgate Tower, 2 Leman Street, London E1 8FA) and **TXN** (TXN Global Limited, a company incorporated in Cyprus (company no. _____), registered office Office 303, 20 Iacovou Patatsou, Egkomi, 2408 Nicosia, Cyprus).

Background. TXN operates a card issuing platform (issuer processor) delivered through three surfaces: a Core API, the TXN Console, and a Developer Portal. TXN's platform is built by its own partners. Novosapien designs and builds the agentic AI layer that powers human and agent-facing interaction across those surfaces. This Agreement sets the terms that apply to that work, delivered under one or more Statements of Work.

1. Definitions

1.1 "**Statement of Work**" or "**SoW**" means a document signed by both parties describing specific Services, Deliverables, charges, and timelines. "**Services**" means the services in a SoW. "**Deliverables**" means the items Novosapien delivers under a SoW (the components of the agentic AI layer). "**TXN Platform**" means TXN's Core API, Console, Developer Portal, and Data Lake, built by TXN's other partners and not part of Novosapien's Deliverables. "**Background IP**" means intellectual property a party owns before, or develops outside, this Agreement, including Novosapien's agent frameworks, orchestration, prompts, tooling, and know-how. "**Foreground IP**" means intellectual property created for TXN under a SoW. "**Confidential Information**" means information one party discloses to the other that is marked confidential or would reasonably be treated as confidential, including the terms of this Agreement, but not information that: is or becomes public other than through a breach of this Agreement; the receiving party already lawfully held; the receiving party develops independently; or the receiving party lawfully obtains from a third party free of any duty of confidence. "**Business Day**" means a day, other than a Saturday, Sunday, or public holiday, when banks in London are open for business.

2. How Statements of Work and Workforce Orders work

2.1 This Agreement governs all Services. Each engagement is set out in a SoW or, for Novosapien's standard AI Workforce products, a Workforce Order (clause 2.3), which takes effect when signed by both parties and incorporates this Agreement. Schedules 1 and 2 together constitute Statement of Work 2 (**Phase 2** of the Agentic AI Layer engagement), which takes effect on signature of this Agreement.

2.1A Phase 1, the pilot, adopted as Statement of Work 1. The six-week agentic pilot ("**Phase 1**") was delivered under the separate Pilot Order between the parties, ran from 27 July 2026, and was **accepted by TXN in writing on 16 September 2026**, deemed complete at the end of the week commencing 14 September 2026. Its position is recorded in the Phase 1 handover document dated 24 September 2026. On signature of this Agreement the parties adopt Phase 1 as the completed Statement of Work 1: its deliverables and the Foreground IP already assigned to TXN under the Pilot Order are treated as Deliverables and Foreground IP under this Agreement, and no further charge is due for it beyond the charges under the Pilot Order. Nothing in Phase 1 is rebuilt, re-tested, or re-approved because of this adoption, and acceptance of Phase 1 is not reopened by this Agreement.

2.1B Work delivered alongside Phase 1 at no charge. During the Phase 1 window Novosapien also delivered work the Pilot Order did not name, price, or require: the Control Center build, the Agent Inbox and Alerts front end with conversational scheduled reporting, the workflow slate build taking the procedure library from six procedures to thirteen and the tool catalogue to 43 tools, and the speed, stability and usability programme that reached production on 22 September 2026. That work is treated as Deliverables under this Agreement, the Foreground IP in it is TXN's on the same terms as Phase 1, and **no charge, change order, or further fee is or becomes due for it**. It is recorded so that what TXN owns is not left to be discovered, and it does not extend the scope of Phase 2.

2.1C Completing the Phase 1 transfer. The Phase 1 handover pack is assembled and current. Completing its transfer depends on four TXN items, each a clause 4.1 dependency: a destination environment reachable by Novosapien; a repository destination with push access for the named Novosapien engineers; a named technical recipient to take a half-day walkthrough; and TXN's and Direct Transact's approval of the model and framework list Novosapien issues. Until those exist, TXN continues to hold the current state of the Deliverables under clause 3.5, and the outstanding transfer is **not** a shortfall in Phase 1 or a condition of any charge.

2.2 A SoW governs the scope, Deliverables, charges, and timeline of its engagement, and prevails over this Agreement on those matters. On all other matters this Agreement prevails. Clauses 6 (Intellectual property), 8 (Confidentiality and data protection), and 9 (Warranties and liability) prevail over any SoW unless that SoW varies them by express reference to the specific clause being varied and is signed by both parties.

2.3 Workforce Orders. Novosapien's standard AI Workforce products (clause 6.4) may be ordered under this Agreement by a "**Workforce Order**": a document signed by both parties, or a Novosapien proposal for Workforce products that TXN accepts in writing, identifying the Workforce products, charges, and term. A Workforce Order incorporates this Agreement. Because Workforce products are standard Novosapien products, not bespoke Deliverables: (a) clauses 3 (Services and Deliverables), 5 (Acceptance and change control), and 6.3 (assignment and exclusivity) do not apply to them; (b) Novosapien licenses the Workforce products to TXN for the term of the Workforce Order; TXN owns the outputs generated for it (including published content) and the data and brand materials it supplies, and the Workforce products, agents, and their frameworks remain Novosapien's; (c) the service description, service levels, guarantees, and pricing, including any usage-based or pass-through charges and their approval process, are as set out in the Workforce Order; (d) each Workforce Order includes its own processing particulars and sub-processor list for the purposes of Schedule 3 Part B, reflecting the data that Workforce actually processes, and Schedule 3 Parts A and C apply to that processing; and (e) where a Workforce product contacts third parties on TXN's behalf, the Workforce Order allocates responsibility for direct-marketing compliance, including lawful basis, consent and screening requirements, and disclosure that a person is interacting with an AI system.

3. Services and Deliverables

3.1 Novosapien provides the Services and Deliverables described in each SoW with reasonable skill and care. The initial scope is set out in Schedule 1.

3.2 Novosapien will use reasonable endeavours to meet the dates in the SoW. Those dates depend on TXN and its other partners meeting the dependencies in clause 4 (for example, stable Core API endpoints and Console instrumentation points).

3.3 Nature of AI output. The Deliverables use generative and agentic AI. Their output is generated and probabilistic, and follows the "advise, do not decide" model that TXN's product requires: the AI surfaces recommendations, analysis, and proposed actions, and a human (or an authorised agent) approves material actions. Novosapien does not warrant that AI-generated output is accurate, complete, or fit for a particular purpose. TXN and its clients remain responsible for decisions taken on the basis of the output, and keep appropriate human oversight for material, regulated, or safety-critical decisions, including transaction and fraud decisions and program-wide configuration changes.

3.4 Approvals and permissions. The Deliverables operate within the permission and approval model of the TXN Platform. AI-initiated changes are scoped to the acting user's Console permissions and are routed through the Console's approval queue where TXN's policy requires. The Deliverables do not self-approve, bypass approval workflows, or auto-execute fraud responses.

3.5 Working in the open. Novosapien delivers its work product into repositories accessible to TXN as it is built, in a deployable, documented state, so that TXN holds the current state of the Deliverables at all times.

3.6 Kill switch. The Deliverables include a control that lets TXN immediately suspend autonomous or agent-initiated activity, in whole or by component, and return the affected surface to human-only operation, without taking down the TXN Platform. TXN may operate the control itself; Novosapien will also engage it on TXN's instruction, or on detecting an agent acting outside its authorised scope. Engaging the control is treated as a Priority 1 event under the Support & SLA Agreement.

4. TXN dependencies and the multi-vendor environment

4.1 Novosapien builds the agentic AI layer only. It does not build the TXN Platform. TXN is responsible for procuring, from itself or its other partners, the dependencies in Schedule 1, including stable Core API endpoints and the OpenAPI (YAML) specification, Console instrumentation / AI plug-in points, Developer Portal AI plug-in points, Data Lake schema access, and timely access to the existing documentation and design materials.

4.1A Detection and alerting stay with TXN and its other partners. Novosapien builds the **Agent Inbox**: the surface that receives an alert, explains what drove it, proposes an action, and executes that action on approval. Novosapien does **not** build the detection, the monitoring, or the thresholds that raise an alert. Those sit with Direct Transact and the Stackworkz Console. Alerts and change events reach the Agent Inbox through a feed whose content, format, and delivery TXN agrees with Novosapien in writing; that feed is a clause 4.1 dependency. If TXN wants Novosapien to own detection, monitoring, or thresholds, that is additional scope, requires a further SoW, and carries a separate charge.

4.2 Novosapien is relieved from its obligations and delivery dates to the extent it is delayed or prevented by a dependency in clause 4.1 not being met, or by a change made by TXN or another partner to the TXN Platform.

4.3 Compliance ownership. TXN owns all regulatory and compliance frameworks that apply to the TXN Platform (including PCI-DSS, KYC/AML, data residency, and audit retention). Novosapien builds Deliverables that respect the rules, permissions, and residency requirements TXN sets, but does not determine those frameworks.

4.4 Regulatory cooperation. Recognising that TXN operates in a regulated payments environment and is subject to Regulation (EU) 2022/2554 (DORA), Novosapien will: (a) on reasonable notice and subject to confidentiality, give TXN, its auditors, and its competent authorities the access and information they reasonably need to review Novosapien's provision of the Services, and cooperate with any resulting inspection; (b) tell TXN where the Services are provided from and where data is processed, and give notice before changing those locations; (c) assist TXN with ICT and security incidents related to the Services, at no additional charge where the incident arises from the Services; (d) on request within 90 days, agree a documented exit plan and, on termination or on Novosapien's insolvency or cessation of business, provide the transition assistance in clause 10.3 and return TXN's data, and the then-current state of the Deliverables, in an accessible format (TXN also holds the current state at all times under clause 3.5); (e) supply, and keep updated, the information TXN reasonably needs for its register of information concerning ICT third-party providers under DORA; and (f) participate in TXN's ICT security awareness and digital operational resilience activities to the extent they concern the Services.

4.4A DORA termination rights. TXN may terminate this Agreement or an affected SoW on written notice, without penalty, if: (a) Novosapien significantly breaches applicable laws or this Agreement; (b) TXN identifies circumstances in its monitoring of Novosapien that could materially impair the Services; (c) Novosapien shows material weaknesses in its overall ICT risk management that it does not remedy within 30 days of notice; or (d) TXN's competent authority requires it in order to supervise TXN effectively. Charges paid for Deliverables already accepted are not refundable on such termination; charges prepaid for services not yet delivered are.

4.4B Critical or important function. If TXN confirms in writing that the Services support a critical or important function under DORA, then automatically from that confirmation: (a) the audit and access rights in clause 4.4(a) extend to unrestricted rights of access, inspection, and audit for TXN, its appointed auditors, and its competent authorities in relation to the Services; (b) the exit plan under clause 4.4(d) becomes a maintained exit strategy with a transition period of up to 6 months during which service levels are maintained and transition assistance is charged at the rate card in the applicable SoW; (c) Novosapien participates in TXN's contingency-plan testing and, where a competent authority requires it, in threat-led penetration testing, charged at the rate card in the applicable SoW; and (d) Novosapien's incident reporting aligns to the timelines TXN must meet under DORA. No charge applies to the provisions in this clause except as stated in it.

4.5 Cardholder data. The Deliverables are designed so that Novosapien does not store, process, or transmit cardholder data (including PANs) and cardholder data is kept out of AI model context (clause 6.6). If a SoW later requires Novosapien to handle cardholder data, the parties will first agree the PCI-DSS responsibility acknowledgment and controls that TXN's compliance framework requires.

4.6 Hosting and infrastructure. The TXN Platform's hosting, infrastructure, and multi-tenancy architecture are provided and managed by TXN or its other partners, not by Novosapien. Novosapien is not responsible or liable for their failure, unavailability, security, or performance. To the extent a failure or degradation of the Deliverables is caused by them: (a) it is not a breach of this Agreement by Novosapien; (b) Novosapien is relieved under clause 4.2, including for acceptance and delivery dates; (c) it is excluded from any service level, availability measurement, and response or resolution target under this Agreement or the Support & SLA Agreement; and (d) Novosapien has no liability for it (clause 9.5).

5. Acceptance and change control

5.1 On delivery of a Deliverable, TXN has 10 Business Days to test it against the acceptance criteria in the SoW and to accept it or reject it with written reasons.

5.2 If TXN does not reject a Deliverable with written reasons within that period, it is deemed accepted. If TXN rejects it, Novosapien corrects and re-submits it, and clause 5.1 applies again. If the same Deliverable fails acceptance 2 times after re-submission, TXN may, at its choice, accept it at a price reduction agreed under clause 5.3 or terminate the SoW as to that Deliverable and receive a refund of the charges paid for it. If that Deliverable is the Agent Access Layer, on which the other Deliverables depend, TXN may instead terminate the SoW as a whole and receive a refund of the charges paid for every Deliverable not yet accepted.

5.3 Either party may request a change. Changes to scope, charges, or timeline take effect only when agreed in writing. Given the multi-vendor build, a change to the TXN Platform that affects a Deliverable is handled under this clause.

6. Intellectual property

6.1 Each party keeps its Background IP. Novosapien's agent frameworks, orchestration patterns, prompt libraries, evaluation and simulation tooling, and general know-how are Background IP.

6.2 Novosapien's delivery agents. Novosapien uses its own workforce of agentic AI agents to run its way of working and deliver the Services, across requirements, product specification, build, release cycles, CI/CD, and self-healing. These delivery agents, and the frameworks, models, prompts, and know-how behind them, are Novosapien Background IP and are part of Novosapien's cost of delivering the Services. They are not a Deliverable. TXN gets no ownership of, or licence to, them, and nothing in this Agreement transfers them to TXN. They are excluded from what TXN receives under clause 6.3.

6.3 What TXN receives, exclusive to TXN. The agents, AI, and data that Novosapien builds specifically for the TXN platform under a SoW are the Deliverables. Novosapien assigns to TXN, with full title guarantee, all Foreground IP in the Deliverables as and when it is created (by way of present assignment of both existing and future rights), and will do anything TXN reasonably asks, at TXN's cost, to perfect that assignment. Assignment is not conditional on payment: Novosapien's protection for unpaid charges is its right to suspend the Services under clause 7.4, not any right to withhold or reclaim title. Those TXN-specific agents, models, and data are exclusive to TXN: Novosapien will not make the same TXN-specific Deliverables available to any other customer. This exclusivity and assignment do not affect Novosapien's Background IP (including the delivery agents in clause 6.2), which Novosapien licenses to TXN only as embedded in the Deliverables and as needed to use them, or Novosapien's reuse rights in clause 6.5.

6.4 Novosapien's separate AI Workforce products, excluded. Novosapien also offers standard AI Workforce products for revenue generation, currently the **Content Workforce, Inbound Workforce, Outbound Workforce, and Deal Lab Workforce**. These are Novosapien products, not Deliverables, and nothing in this Agreement gives TXN any right to them unless they are ordered under a Workforce Order (clause 2.3). They remain licensed Novosapien products on the pricing in the applicable Novosapien proposal or Workforce Order, and are never assigned.

6.5 Novosapien may reuse its general skills, techniques, methods, and generic components, provided it does not use TXN's Confidential Information or the TXN-specific Deliverables. The Deliverables may include third-party or open-source components under their own licences, which are passed through to TXN.

6.6 Data and models. TXN and its clients own their input data. TXN grants Novosapien the licence it needs to use TXN's data, materials, and branding solely to provide the Services. TXN's and its clients' data will not be used to train Novosapien's or any third party's foundation models except as expressly agreed in a SoW. Novosapien configures its sub-processors accordingly, including using zero-data-retention or equivalent no-training options where the provider offers them. Cardholder data is kept out of AI model context as clause 4.5 requires; if a future SoW brings cardholder data into scope, the scoping and redaction controls agreed under clause 4.5 apply, consistent with TXN's data-residency rules. Novosapien may use aggregated, de-identified operational data to improve the Deliverables.

6.7 EU AI Act. Each party complies with Regulation (EU) 2024/1689 (the AI Act) in its role: Novosapien as the party developing and supplying the Deliverables, and TXN as the party deploying them. Novosapien will provide the technical documentation and transparency information TXN reasonably needs to meet its deployer obligations, including that users are informed they are interacting with an AI system. The Deliverables follow the advise-do-not-decide, human-oversight design in clause 3. Neither party will use the Deliverables for a prohibited practice, and any new or changed use case that could make a Deliverable a high-risk AI system (including creditworthiness assessment of natural persons) requires the parties' prior written agreement and a joint assessment before deployment.

6.8 Sector exclusivity and references. For 12 months from the Launch Date, Novosapien will not provide a card-issuing platform or issuer-processor operating in the UK or the EU with services or deliverables substantially similar to the Deliverables. This restriction does not extend to Novosapien's separate AI Workforce products (clause 6.4) or to customers outside that sector. In consideration, TXN grants Novosapien the right, during the term of this Agreement, to name TXN as a customer, use TXN's name and logo in customer lists and marketing materials, publish an agreed case study, act as a reference for prospective customers, and refer to the engagement at conferences. Any case study, and any use of TXN's Confidential Information in reference materials, requires TXN's prior written approval, not to be unreasonably withheld or delayed.

7. Charges and payment

7.1 TXN pays the charges in each SoW. All charges are exclusive of VAT, which is added where applicable. The charges for Phase 2 are set out in Schedule 2 and follow the Phase Two proposal dated 28 September 2026. Phase 1 (Statement of Work 1) was charged separately under the Pilot Order and is not re-charged here.

7.2 **Phase 2.** The Phase 2 charge is **£90,312.50**: the full-time three-person team at £36,125 per month across two and a half months, the final month pro-rated at half. It is invoiced **monthly in advance** as set out in Schedule 2. TXN buys the team for the period rather than a fixed list of Deliverables: within the Phase 2 scope in Schedule 1, TXN sets the weekly order of work in the standing review, and **the charge does not move with the mix of work the team does**. If the Phase 2 start date moves, the window and the invoice dates move with it and the amounts do not change. Phase 1 was charged at £54,187.50 under the Pilot Order, of which the second instalment of £27,093.75 fell due on acceptance, and is not re-charged under this Agreement.

7.3 **Phase 3 is not committed by this Agreement.** Phase 3 is the remaining deliverables taken to version one. Neither its scope, its duration, nor its charge is committed by this Agreement or by Schedule 2. The parties will agree Phase 3 in the **final fortnight of Phase 2**, against what exists at that point rather than against a list written in advance, and it takes effect only under a further SoW signed by both parties. The indicative basis for that SoW, if Phase 3 proceeds, is the same full-time team at **£36,125 per month** invoiced monthly in advance. The engagement plan total of £270,375 in Schedule 2 is **indicative of the route to version one and is not a committed spend**; TXN's committed spend under this Agreement is the Phase 2 charge in clause 7.2.

7.4 Each valid invoice is payable on its date of issue. Interest on late payment accrues at 6% above the Bank of England base rate. If an undisputed invoice is overdue, Novosapien may suspend the Services on 15 Business Days' further written notice. Novosapien will not suspend live support under the Support & SLA Agreement where the only outstanding issue is unpaid undisputed sums; its remedies there are interest under this clause and its termination rights for material breach.

7.5 Managed support and maintenance is provided under the separate Support & SLA Agreement between the parties, at the fee for the Support Tier TXN selects under that agreement (Business Hours, £4,250 per month, unless TXN selects a higher tier). That agreement, not this clause, governs the service levels and charging for support. **Support commences at the end of Phase 2, being 15 December 2026** or, if the Phase 2 window moves under clause 7.2, the day after Phase 2 ends. No support fee is payable for any period before that date. During Phase 2 the team corrects defects in the Deliverables as part of the Phase 2 charge, and no separate support fee is due.

8. Confidentiality and data protection

8.1 Each party keeps the other's Confidential Information confidential and uses it only to perform this Agreement, except as required by law or disclosed to its advisers. This clause survives for 2 years after termination.

8.2 "**Data Protection Laws**" means the EU GDPR, the UK GDPR, and the Data Protection Act 2018, in each case as applicable to the processing concerned. Where Novosapien processes personal data on TXN's behalf to provide the Services, Novosapien acts as processor and TXN as controller, and the parties comply with Schedule 3 (Data Processing), which meets Article 28 of the EU GDPR and the UK GDPR, including on security, Novosapien's own sub-processors, audit rights, and breach notification within 24 hours (supporting TXN's own 72-hour notification obligations). **While the AI model services run on Novosapien's own provider accounts, those providers are Novosapien's sub-processors and are listed in Schedule 3 Part B.** Once the parties confirm in writing that those services have transferred to TXN's own provider accounts, they become TXN's processors rather than Novosapien's sub-processors (Schedule 3). Any transfer of personal data outside the UK or the EEA is made only under a valid transfer mechanism (the EU Standard Contractual Clauses and/or the UK IDTA or UK Addendum, as applicable) with a completed transfer risk assessment. TXN is established in Cyprus, so the EU GDPR governs TXN's processing as controller; the UK GDPR applies to Novosapien's processing in the UK. Transfers from the EEA to Novosapien in the UK rely on the European Commission's UK adequacy decision. If that decision is suspended, withdrawn, or expires, the parties will promptly put in place the EU Standard Contractual Clauses, or another valid transfer mechanism, for those transfers, and the transfers may continue in the meantime to the extent the law allows.

9. Warranties and liability

9.1 Novosapien warrants it provides the Services with reasonable skill and care. Except as stated, and to the extent permitted by law, all other warranties are excluded. Software and AI output are not warranted to be error-free or uninterrupted.

9.2 Neither party excludes or limits liability for death or personal injury caused by its negligence, for fraud, or for anything else that cannot lawfully be limited.

9.3 Subject to clause 9.2, neither party is liable for indirect or consequential loss, or for loss of profit, revenue, goodwill, or anticipated savings.

9.4 Subject to clause 9.2, each party's total liability under this Agreement and all SoWs and Workforce Orders is capped at the greater of £150,000 and the total charges paid under this Agreement and all SoWs and Workforce Orders. A separate, higher cap of the greater of £250,000 and the general cap above applies to Novosapien's liability for a breach of the Data Protection Laws or of Schedule 3. The caps in this clause 9.4 apply only to this Agreement and its SoWs; the Support & SLA Agreement carries its own separate cap, and the two are not a shared pool. The caps in this clause 9.4 and the exclusion in clause 9.3 do not apply to a breach of confidentiality (clause 8.1) or to wilful misconduct.

9.5 For clarity, Novosapien has no liability for the matters in clause 4.6 (hosting, infrastructure, and multi-tenancy architecture managed by TXN or its other partners), and nothing arising from them counts toward the cap in clause 9.4.

9.6 IP indemnity. Novosapien will defend TXN against any third-party claim that the Deliverables, as delivered and used as intended, infringe intellectual property rights enforceable in the UK or the EU, and will pay the damages and reasonable costs finally awarded or agreed in settlement. This does not cover claims arising from TXN's materials or instructions, from modifications not made by Novosapien, from combination with items Novosapien did not supply or require, or from open-source components used within their licences. If a claim arises or is likely, Novosapien may procure the right for TXN to keep using the affected Deliverable, or modify or replace it without material loss of function. Novosapien controls the defence and any settlement; TXN gives prompt written notice and reasonable cooperation and does not admit liability. Novosapien's total liability under this clause is capped at the total charges paid under the SoW to which the claim relates, separately from the clause 9.4 cap.

9.7 Insurance. Novosapien will maintain professional indemnity insurance of at least £1,000,000 and cyber insurance of at least £1,000,000 per claim, in force from the date of this Agreement and throughout the term of the Services, and provides evidence of cover on request.

10. Term and termination

10.1 This Agreement starts on the date above and continues until terminated. It applies while any SoW is live.

10.2 Either party may terminate this Agreement or a SoW on 30 days' written notice, immediately if the other materially breaches and does not cure within 14 days of notice, or on the other's insolvency. **Neither party may terminate Statement of Work 2 (Phase 2) for convenience before 15 December 2026**, or before the end of the Phase 2 window if it moves under clause 7.2, because both parties have committed a team and a budget to that period. Each party's rights on breach and insolvency are unaffected, as are TXN's rights under clause 4.4A. Phase 3 carries no commitment and no notice restriction unless a Phase 3 SoW says so.

10.3 On termination, TXN pays for Services performed and work in progress up to termination. Novosapien hands over the Deliverables completed to that point in a deployable, documented state. Each party returns or deletes the other's Confidential Information; Novosapien gives reasonable transition assistance at its standard day rates (Schedule 2) if asked; and clauses 6, 8, 9, and 11 survive.

11. General

This Agreement is the entire agreement between the parties (but nothing excludes liability for fraud). Variation only in writing signed by both parties. Neither party assigns without consent, not unreasonably withheld. Novosapien may use approved subcontractors and remains responsible for them. Notices are given in writing, by email or letter: to Novosapien at info@novosapien.ai or its registered office; to TXN at _____ or its registered office. An email notice is deemed received on the next Business Day after sending, unless the sender receives a delivery-failure message. Force majeure gives relief for events beyond reasonable control, with a termination right if prolonged beyond 30 days. No third-party rights under the Contracts (Rights of Third Parties) Act 1999. The parties are independent contractors. No waiver by delay; invalid clauses are severed. The Agreement may be signed in counterparts and electronically.

12. Governing law and jurisdiction

This Agreement and any dispute arising from it are governed by the law of England and Wales, and the courts of England and Wales have exclusive jurisdiction.

Signatures

Signed for and on behalf of Novosapien

Signature

Name

Title

Date

Signed for and on behalf of TXN

Signature

Name

Title

Date

Statement of Work 2: Phase 2 of the Agentic AI Layer

Statement of Work 1 is Phase 1, the six-week agentic pilot, delivered under the Pilot Order, accepted on 16 September 2026, and adopted as complete under clause 2.1A. This Statement of Work 2 is Phase 2: the stage that takes what Phase 1 proved on simulation, puts it in front of the market, and wires it into the live platform. Phase 3 follows Phase 2 and is not committed by this Agreement (clause 7.3).

Engagement summary. Novosapient designs and builds the agentic AI layer rendered inside TXN's Console and Developer Portal and exposed to external agents, following TXN's three trust concepts (co-pilot, agent-advisor, full agentic). Phase 2 is the continuation of a build that is already running, not the start of a new one.

Phase 2 Deliverables: the six components.

- **1. The Knowledge Hub** (*first*): the documentation MCP server a developer connects to their own AI client, and the co-pilot in the hub that answers from the guides and the API reference together, with sandbox assist, the anomaly loop, and the email gate that turns an evaluator into a lead.
- **2. Wire-in to the live platform:** moving two Phase 1 components off the simulation. The **Agent Access Layer** (the tool surface, the approval gate, and the audit trail) onto the real Core API, and the **Full Agentic Experience** (the procedure library and the generative interface) onto live data and the Console component library. Paced by the partner surfaces.
- **3. Co-pilot v1** (Concept 1): the reactive in-Console assistant: page-scoped question and answer with guard rails, guided configuration that collapses the product fields into a confirm-not-configure conversation, and plan-then-act on explicit confirmation.
- **4. Agent Inbox and Alerts v1** (Concept 1→2): the queue where alerts, scheduled reports, and agent-proposed plans land for review and approval, with the analysis attached and the action one click away, including scheduled and on-demand reporting. **This is the inbox, not an alerting system:** detection, monitoring, and thresholds stay with Direct Transact and the Stackworkz Console under clause 4.1A, and the inbox presents and acts on what they raise.
- **5. The customer onboarding agent:** the last outstanding part of Internal Ops v1, specified in Phase 1 and built in Phase 2: sourced due diligence, an onboarding-interview agent that captures intent and surfaces the hard realities, Statement of Work assembly with drift detection, and customer information questionnaire assembly.
- **6. Speed, stability and usability** (*continuous*): the programme that followed TXN's hands-on testing, continued for the whole Phase 2 window: measured response times published weekly, a tagged and held build for every test window, and the written feedback queue worked to closure.

Explicitly not in Phase 2. Each of the following is outside this SoW. None is committed, and Phase 2 is planned and priced on their absence. Each requires a further SoW and a separate charge:

- **An alerting system.** Novosapien does not build the detection, the monitoring, or the thresholds (clause 4.1A).
- **The agent-to-agent (A2A) endpoint,** the inbound door for a client's own external agent. Productionising it waits until the Agent Access Layer is on the live platform and the permission model is settled.
- **Fraud & Risk Assist and Reconciliation.** Both depend on the Data Lake and on live transaction volume, and neither can be judged on evidence until that volume exists.
- **Authenticated developer features:** sign-up, the four-level access model, and diagnosis from a developer's own sandbox logs, which needs per-user sandboxes that do not yet exist.
- **The Console permission model,** which is Stackworkz's to provide; the agentic layer scopes against it during the wire-in.

Acceptance criteria. Each Deliverable is accepted against the acceptance criteria and entity journeys documented for its sub-components in the TXN product vault (for example the co-pilot, agent-access-layer, and developer-support sub-components), as agreed in writing at the start of each Deliverable's build. Component 6, speed, stability and usability, is continuous rather than a dated Deliverable: it is reported weekly against measured response times and is not subject to acceptance under clause 5.

Term, milestones and timeline. Phase 2 runs for approximately two and a half months, **commencing 28 September 2026 and ending 15 December 2026.** Sprint Zero and Phase 1 are complete. The sequence within Phase 2:

- **The Knowledge Hub is built first,** over a full two weeks from commencement. The single fixed milestone of Phase 2 is **15 October 2026**, by which the knowledge hub AI is demonstrable.
- **The wire-in and Co-pilot v1 open on 8 October 2026,** a week later, so the hub reaches its milestone before the team spreads across the rest.
- Everything after 15 October is sequenced against the partner dependencies below rather than promised to a date Novosapien does not control. Component 6 runs every week of the phase.
- If the commencement date moves, the window and the milestones move with it and the charges do not change (clause 7.2).

TXN dependencies and assumptions.

- **A separate Umbraco API key for the Knowledge Hub**, so component 1 runs at full pace from day one (Stackworkz).
- **For the wire-in: a destination environment and the production routing decision** with Stackworkz.
- **For component 4: an agreed feed of alert and change events** from Direct Transact and the Console (clause 4.1A).
- The four items that complete the Phase 1 transfer, listed in clause 2.1C.
- Stable Core API endpoints and the OpenAPI (YAML) specification, with a defined release cadence and breaking-change handling (Direct Transact). Novosapien must be able to retrieve the current specification from a reachable location.
- Console instrumentation / AI plug-in points: page state, component identifiers, action handlers (Stackworkz).
- Developer Portal AI plug-in points and Umbraco content access (Stackworkz).
- Data Lake schema and query access for analytics and recommendations (Direct Transact). Phase 2 does not depend on it; the Phase 3 components do.
- The Console permission model and approval-queue behaviour (held in the Stackworkz back-end-for-frontend).
- Access to existing documentation and materials: Core API docs, Console design prototype, Developer Portal site docs, brand guidelines, Knowledge Hub source content, and TXN's AI user-journey designs.
- Hosting, infrastructure, and the multi-tenancy architecture are provided and managed by TXN or its other partners in every model (clause 4.6). TXN will confirm its multi-tenancy model (ring-fenced per-client stacks or central orchestration) before the build of the components it affects; this is a clause 4.1 dependency.

Phase 2 commences without these in place. The components that need them are paced by them, and clause 4.2 applies.

AI consumption. Model usage is not charged by Novosapien. The intended model is that it runs on **TXN's own provider accounts**. Until the parties confirm that transfer in writing it runs on Novosapien's accounts at Novosapien's cost, with the data-protection consequence set out in Schedule 3. Cloud and observability hosting are excluded from the Phase 2 charge and are TXN's.

AI-specific scope. Advise-do-not-decide throughout; approval-queue and permission model respected; no auto-execution of fraud responses; cardholder PII limited and redacted before any model context; data residency per TXN's rules; human-in-the-loop for material and program-wide actions.

Team. The same full-time three-person team that delivered Phase 1: an AI Product Owner, an AI Engineer, and a Forward Deploy Engineer, with a named lead accountable to TXN.

Governance and reporting. Each party names an engagement lead for this SoW. The leads meet weekly during Phase 2. Novosapien issues a **weekly flight plan** carrying progress, measured response times, and the week's risks, with **fortnightly demonstrations of working software**. TXN sets the weekly order of work within the Phase 2 scope at that review. Issues the leads cannot resolve escalate to a founder or director of each party.

Charges for this SoW. Phase 2: **£90,312.50** over approximately 2.5 months, invoiced monthly in advance (Schedule 2, clause 7.2). Sprint Zero (£17,500) is delivered and invoiced, and Phase 1 (£54,187.50) was delivered, accepted, and charged under the Pilot Order (Statement of Work 1). Phase 3 is not charged by this SoW and is not committed (clause 7.3).

SCHEDULE 2

Charges

What this Agreement charges: Phase 2 only

Phase 2 is charged on the committed monthly team rate: the full-time three-person team at £36,125 per month for two and a half months. TXN buys the team for the period, not a fixed scope, so the charge does not move with what the team builds (clause 7.2).

Tranche	When	Amount
Phase 2, month 1	On commencement (28 September 2026), in advance	£36,125.00
Phase 2, month 2	One month after commencement, in advance	£36,125.00
Phase 2, final half month	Two months after commencement, in advance; the part month to 15 December 2026	£18,062.50
Phase 2 total (this Agreement)		£90,312.50

Each invoice is payable on its date of issue (clause 7.4). If the commencement date moves, the invoice dates move with it and the amounts do not change.

Already charged under other instruments, shown for completeness

Stage	Position	Amount
Sprint Zero	Delivered and invoiced	£17,500.00
Phase 1, the agentic pilot (Statement of Work 1)	Delivered; accepted 16 September 2026. Charged under the Pilot Order: 50% on signature, 50% on acceptance (£27,093.75 each)	£54,187.50

Neither stage is charged by this Agreement. The work delivered alongside Phase 1 at no charge (clause 2.1B) carries no charge here or in any later instrument.

The engagement plan, indicative and not committed

Stage	Status	Charge
Sprint Zero	Delivered and invoiced	£17,500.00
Phase 1, the agentic pilot	Delivered and accepted (Pilot Order)	£54,187.50
Phase 2, this Agreement	Committed , 2.5 months	£90,312.50

Stage	Status	Charge
Phase 3, the remaining deliverables to version one	Not committed. Scope and charge agreed in the final fortnight of Phase 2, under a further SoW (clause 7.3). Indicatively 3 months at £36,125 / mo	£108,375.00
Indicative plan to version one		£270,375.00

£270,375 is the indicative route to version one, not a committed spend. It is the same figure as the Agentic Layer proposal. TXN's committed spend under this Agreement is £90,312.50.

Indicative component allocation (for clauses 5.2 and 5.3 only, from the Agentic Layer proposal)

Component	Indicative allocation
Full Agentic Experience, wired to the live platform	£34,000
Agent Access Layer, mock to real API	£20,000
Co-pilot v1	£16,000
Developer Support, the Knowledge Hub	£12,000
Agent Inbox and Alerts v1	£8,312.50
Total	£90,312.50

These allocations are indicative, not fixed prices per component. They exist so that clauses 5.2 and 5.3 have a figure to work from on a price reduction or a refund. Phase 2 is charged on the team rate for the period, not component by component. The customer onboarding agent (component 5) and the speed, stability and usability programme (component 6) carry no separate allocation and are absorbed within the same team envelope.

Support and maintenance

Item	Basis	Amount
Managed support & maintenance	Under the separate Support & SLA Agreement. Commences at the end of Phase 2 (15 December 2026) , not before (clause 7.5). Fixed monthly, Business Hours tier, up to 20 hours/month support & improvement	£4,250 / mo
Defect correction during Phase 2	Included in the Phase 2 charge; no separate fee	Included

Standard day rates (change requests / work beyond the support allocation)

Role	Day rate
AI Product Owner	£950
AI Engineer	£850
Forward Deploy Engineer	£750

All figures are exclusive of VAT. Payment terms per clause 7. AI model usage is not charged by Novosapien (Schedule 1, AI consumption); cloud and observability hosting are excluded. These charges follow the Phase Two proposal dated 28 September 2026; Phase 1 (Statement of Work 1) is charged under the Pilot Order.

SCHEDULE 3

Data Processing (Article 28, EU GDPR and UK GDPR)

This Schedule applies to the extent Novosapien processes personal data on TXN's behalf. Novosapien processes TXN personal data where it accesses that data to build, operate, support, or maintain the Deliverables, principally when handling support and Incidents. Where Novosapien does not access TXN personal data, it acts as a software supplier rather than a processor, and only its confidentiality obligations apply.

Two operating models, and which one applies. The parties record that the operating model changes during the engagement, and that this determines who holds the model providers:

- **The current model (during Phase 2).** The AI model services run on **Novosapien's own provider accounts**. While that is the case, those providers are **Novosapien's sub-processors**, are listed in Part B, and every obligation in Part A applies to them, including the notice and objection right in Part A(d).
- **The target model.** On a date the parties confirm in writing, the AI model and hosting services transfer to **TXN's own provider accounts**. From that date those providers are **TXN's processors**, not Novosapien's sub-processors, and TXN determines and contracts for them directly. Novosapien will give TXN the information it needs to make that appointment.

Until the parties confirm that transfer in writing, **the current model applies** and Novosapien holds the model providers as its sub-processors. Nothing in this Agreement, and no statement elsewhere in it about model usage running on TXN's accounts, displaces that position for any period in which it is not actually the case.

Where the Deliverables run. The Deliverables run in production on a dedicated node for the agentic AI layer in TXN's European Microsoft Azure environment, provided and managed by Direct Transact alongside the Core API, within Direct Transact's PCI-covered environment. Novosapien does not store, process, or transmit cardholder data, and cardholder data is kept out of AI model context (clauses 4.5 and 6.6); the Deliverables sitting inside a PCI-covered environment does not alter that, and does not make Novosapien responsible for TXN's or Direct Transact's PCI-DSS compliance (clause 4.3).

Part A: Processing obligations

Where Novosapien processes personal data on TXN's behalf under this Agreement, Novosapien will:

- (a) **Instructions.** Process the personal data only on TXN's documented instructions (including this Agreement and each SoW), unless required by law, in which case Novosapien informs TXN of that requirement before processing unless the law prohibits it;
- (b) **People.** Ensure that everyone it authorises to process the personal data is committed to confidentiality;
- (c) **Security.** Implement and maintain the technical and organisational measures in Part C, and keep them appropriate to the risk as Article 32 requires;
- (d) **Sub-processors.** Engage only its own sub-processors listed in Part B, impose these same obligations on them in writing, remain fully responsible for their performance, and give TXN prior written notice of any intended addition or replacement so TXN may object on reasonable grounds. **A provider that is used only as a failover is still a sub-processor** and is listed in Part B accordingly. AI model and hosting providers engaged on TXN's own accounts, once the transfer above has been confirmed in writing, are TXN's processors, not Novosapien's sub-processors, and TXN is responsible for their appointment;
- (e) **Data-subject rights.** Taking into account the nature of the processing, help TXN by appropriate technical and organisational measures to respond to data subjects exercising their rights;
- (f) **Assistance and breach notice.** Help TXN meet its obligations on security, breach notification, and data protection impact assessments, and notify TXN without undue delay, and in any event within 24 hours, after becoming aware of a personal data breach, with the information TXN needs for its own notification obligations (including the 72-hour window);
- (g) **End of processing.** On termination, return the personal data in an accessible format or delete it, at TXN's choice, unless the law requires a copy to be kept; and
- (h) **Audit.** Make available the information TXN reasonably needs to demonstrate compliance with this Schedule, and allow and contribute to audits under clause 4.4.

Part B: Processing particulars

Particular	Detail
Subject matter & duration	Personal data processed in providing the Services, for the term of this Agreement and any period needed for return or deletion under clause 10.3
Nature & purpose	Building and operating the agentic AI layer for the TXN Platform
Types of personal data	Console user account and activity data; support-ticket and log content; developer-portal user data. No cardholder data (clause 4.5); if a SoW later brings limited cardholder data into scope, it is redacted before any AI model context

Particular	Detail
Data subjects	TXN's staff and client operators using the Console; developers and integrators using the Developer Portal; cardholders only if a later SoW brings them into scope
Applicable regime	EU GDPR (TXN Global Limited is established in Cyprus); UK GDPR for Novosapien's processing in the UK
Security measures	The technical and organisational measures set out in Part C of this Schedule
Novosapien sub-processors (the current operating model)	AI model providers, engaged on Novosapien's own accounts until the transfer to TXN's accounts is confirmed in writing: 1. Google (Gemini, via Google Cloud Platform), the primary model provider. 2. Anthropic (Claude), first failover. 3. OpenAI, second failover. Used only on failover, and listed because a failover provider is still a sub-processor. Other: none at the date of this Agreement. Novosapien's Agent Ops monitoring and support tooling is operated by Novosapien itself. Any future sub-processor, and any change to the failover chain above, is engaged only with prior written notice and a right to object under Part A(d). On the transfer to TXN's accounts, the three providers above cease to be Novosapien's sub-processors and become TXN's processors
Hosting	A dedicated node for the agentic AI layer in TXN's European Microsoft Azure environment , provided and managed by Direct Transact alongside the Core API, within Direct Transact's PCI-covered environment. Provided and managed by TXN or its other partners, not by Novosapien (clause 4.6)
Processing locations	European Union (the Azure environment in which the Deliverables run) and the United Kingdom (Novosapien's operations and support access). AI model inference runs in European or regional endpoints where the provider offers them, pinned in the architecture. Notice of changes to Novosapien's own locations per clause 4.4(b)
Conversation history and traces	The Deliverables write agent conversation history and execution traces to a datastore. Its location is to be confirmed in writing between the parties; the parties' intention is that it sits in the same European Azure environment as the Deliverables. Until it is confirmed, Novosapien will not write TXN personal data to any store outside that environment, and any sensitive data is stripped before it is written

Particular	Detail
International transfers	For Novosapien's own processing: EEA to UK under the European Commission's UK adequacy decision, and EU SCCs and/or the UK IDTA/UK Addendum with a transfer risk assessment for any transfer Novosapien makes outside the UK or EEA. For the AI model providers, while they run on Novosapien's accounts: Novosapien is responsible for the transfer mechanism, and will pin European or regional model endpoints and enable zero-data-retention or equivalent no-training options where the provider offers them , so that the European commitment holds in practice rather than only on paper. Where a provider offers no European endpoint, Novosapien will tell TXN before routing TXN personal data to it. After the transfer to TXN's accounts, any transfer to the model providers is TXN's to cover and Novosapien assists as above
Breach notification	Without undue delay and in any event within 24 hours of becoming aware, with the information TXN needs for its own 72-hour notification obligations
Audit rights	TXN and its auditors may audit compliance with this Schedule on reasonable notice, subject to confidentiality; regulator access per clause 4.4(a)
Deletion / return	On termination, per clause 10.3: return in an accessible format, then deletion, at TXN's choice

Part C: Technical and organisational measures

The TXN Platform and the Deliverables run in production on TXN's own infrastructure: a dedicated node for the agentic AI layer in TXN's European Microsoft Azure environment, managed by Direct Transact (clause 4.6). The measures below cover what Novosapien controls: its access, tooling, development practice, personnel, and, while the AI model services run on Novosapien's own accounts, the configuration of those services.

(a) **Governance.** Novosapien maintains an information-security programme owned by Brett St Clair (Co-Founder), with security practices reviewed at least annually. Novosapien does not currently hold ISO 27001 or SOC 2 certification; it commits to pursuing alignment with ISO 27001 controls and will discuss a certification roadmap with TXN in good faith.

(b) **Access control.** Access to systems processing TXN data is granted on a least-privilege, role-based basis to named individual accounts, with no shared accounts for production access. Multi-factor authentication is enforced on all systems used to deliver the Services. Credentials are held in a password manager; production secrets live in the hosting platform's managed secret store, never in source code. Access is reviewed periodically and revoked within one Business Day when no longer required, including for leavers.

(c) **Encryption.** Data in transit is encrypted using TLS 1.2 or higher. Data at rest is encrypted using AES-256 or equivalent via the hosting platform's managed encryption.

(d) **Infrastructure.** Physical and environmental security is inherited from Microsoft Azure's certifications (ISO 27001, SOC 2). Development and production environments are separated; TXN personal data is not used in development or test environments.

- (e) **Secure development.** Code changes are reviewed before merge to a protected main branch and deployed through CI/CD. Dependencies are monitored for known vulnerabilities, and critical vulnerabilities in components Novosapien controls are remediated promptly, targeting 14 days for critical severity.
- (f) **Logging and monitoring.** Production systems emit centralised logs; administrative and support access to systems holding TXN data is logged. Security-relevant logs are retained for at least 90 days.
- (g) **Endpoint security.** Devices used to deliver the Services have full-disk encryption, screen lock, and automatic security updates enabled.
- (h) **Personnel.** All personnel with access to TXN data are bound by written confidentiality obligations. Documented security-awareness onboarding is being implemented and will be in place before support under the Support & SLA Agreement begins.
- (i) **Incident response.** Novosapien maintains a documented incident-response process covering identification, containment, remediation, and post-incident review, and notifies TXN of a personal-data breach affecting TXN data within 24 hours of becoming aware, with the information TXN needs for its own 72-hour controller obligations.
- (j) **Resilience and backup.** Backup and disaster recovery for the TXN Platform and its data stores are TXN's responsibility (clause 4.6). Novosapien keeps its production configuration defined as code and re-deployable, and takes periodic precautionary snapshots of the configuration and artefacts it controls, without assuming responsibility for TXN's backup regime.
- (k) **No degradation.** Novosapien flows materially equivalent obligations down to its own sub-processors and will not materially degrade the measures in this Part C during the term.